



THE REPUBLIC OF UGANDA

BYE-LAWS OF

KADCOS

~~KAMPALA DEVELOPMENT~~ *hubaka*

**CO-OPERATIVE SOCIETY,
LIMITED**

REGISTERED No: *9838/RCS*

ADDRESS: *P.O. Box 14241,*

MENGO - KAMPALA W.

DISTRICT: *KAMPALA*



THE REPUBLIC OF UGANDA



BYE LAWS OF

KADCO
~~KAMPALA~~ ~~DEVELOPMENT~~ ~~LUBAGA~~

**CO-OPERATIVE SOCIETY,
LIMITED**

FORM OF APPLICATION FOR REGISTRATION OF A
CO-OPERATIVE SOCIETY

UNDER REGULATION 3 OF THE CO-OPERATIVE SOCIETIES
REGULATIONS 1993

KADCO S

1. Name of proposed society... KADCO S
LUBAGA CO-OPERATIVE SOCIETY LTD.
- 2.
- 3.
4. Whether limited or unlimited is desired... Limited
5. Language and character in which the books and accounts will be kept.
6. Name of the person appointed to perform the duties of Secretary of the society pending the first annual general meeting... MRS. HARRIET
KALANZI
7. Address of the society for purpose of Registration... P.O. Box,
14241, MENGO, KAMPALA (U)

We, the undersigned, apply that the above society may be registered as a co-operative society under the provisions of the co-operative societies Act.

[illegible]

MODEL BYE LAWS OF A COOPERATIVE SOCIETY, LIMITED

Made under the over-riding authority of the co-operative Societies Act cap 112 and co-operative Regulations 1993 to which reference shall be made in case of doubt.

1. The society shall be called NAME KADUS
LUBAGA COOPERATIVE STATE MENT
..... Limited

REGISTERED

2. a) The registered POSTAL address of the society shall be
P. O. Box 14241
Mengo - Kampala
- b) The registered HEAD OFFICE of the society shall be situated in the
Village/town of Mengo - LUBAGA

OBJECTS

3. The objects of the society are to promote the MUTUAL economic interests of its members IN ACCORDANCE WITH CO-OPERATIVE PRINCIPLES and more particularly:

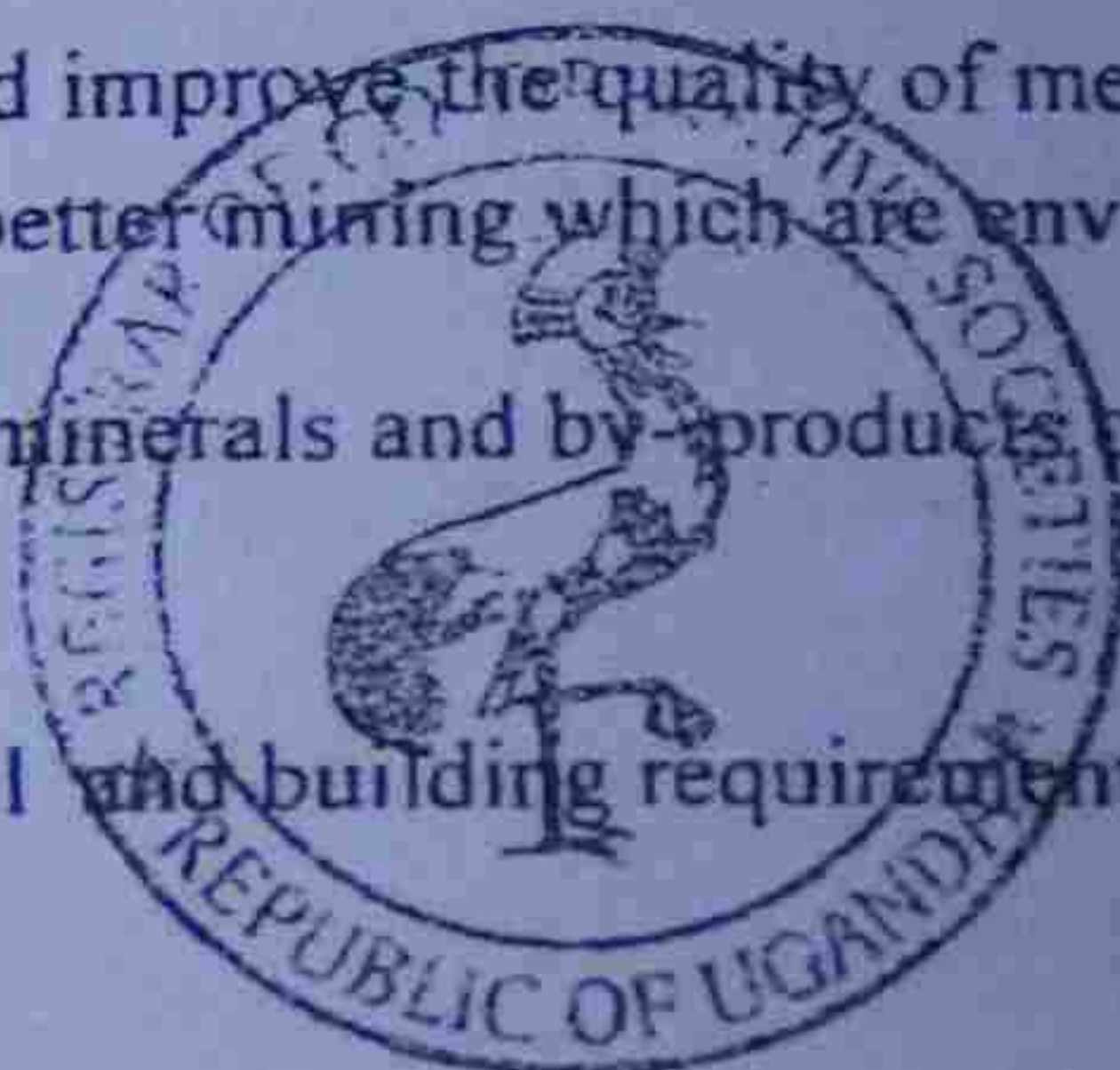
A. AGRICULTURAL MARKETING

- a) To encourage improved methods of agriculture and to supply expert advice.
- b) To increase the quantity and improve the quality of members' crops by better land utilization and better farming.
- c) To market and process the agricultural products of members co-operatively.

- d) To purchase the agricultural and building requirements of members cooperatively.
- e) To encourage members to save money by accepting their deposits
- f) To make loans to members for productive purposes on the security of their agricultural Produce.
- g) To do such things as may be necessary for the attainment of these objects.
- h) To encourage in members a spirit of practicing thrift, mutual self-help and education.

B. MINING

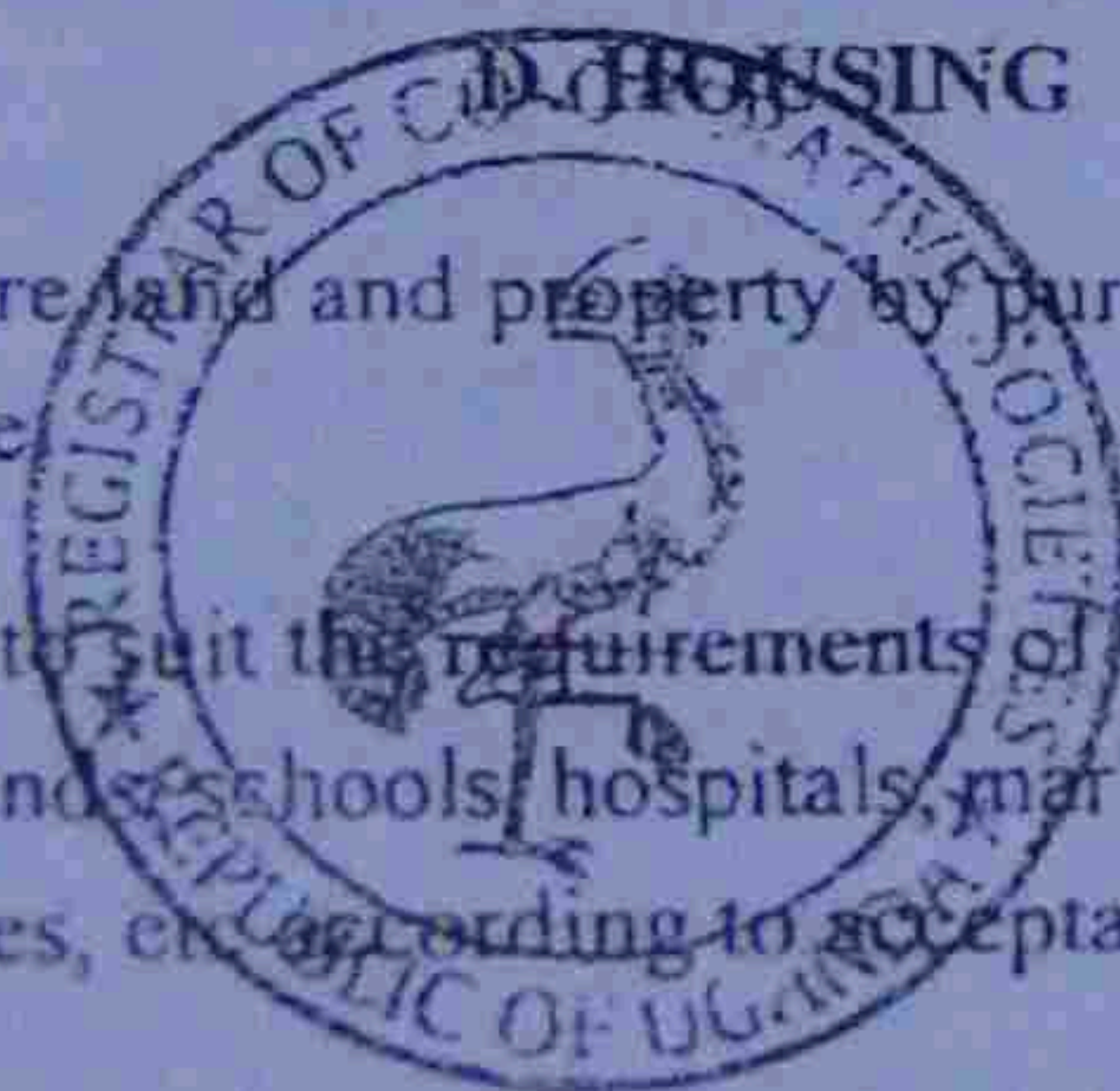
- a) To encourage improved methods of mining and to supply expert advice.
- b) To increase the quantity and improve the quality of members' minerals by better land utilization and better mining which are environmentally friendly.
- c) To market and process the minerals and by-products of the members co-operatively.
- d) To purchase the agricultural and building requirements of members co-operatively.
- e) To encourage the members to save money by accepting their deposits.
- f) To make loans to members for productive purposes on the security of their wood products.
- g) To do such other things as may be necessary for the attainment of these objects.
- h) To encourage in members a spirit of practicing thrift, self-help and education.
- i) To mine.
- j) To engage in other activities as might be necessary for the fulfilment of statutory instruments 1988 No. 1



"The Gold Mining Regulation 1988".

C. FIRE WOOD AND CHARCOAL

- a) To encourage improved methods of wood works and charcoal and to supply expert advice.
- b) To increase the quantity and improve the quality of members' wood and charcoal by better land utilization and acceptable environmental practices.
- c) To market the wood product and process charcoal of members co-operatively
- d) To purchase the wood product and charcoal of members co-operatively.
- e) To encourage the members to save money by accepting their deposits..
- f) To make loans to members for productive purposes on the security of their wood products.
- g) To do such other things as may be necessary for the attainment of these objects
- h) To encourage in members a spirit of practicing thrift, self-help and education.
- i) To plant trees and protect the environment.



- a) To buy or acquire land and property by purchase, mortgage, lease exchange, gift or otherwise
- b) To lay out land to suit the requirements of the society in the shape of roads, parks, play grounds, schools, hospitals, markets, post offices, cinemas and other social amenities, according to acceptable standards.
- c) To lay out land to sites for the benefit to the members of the society.
- d) To construct or cause to be constructed buildings or other works of a common utility to the society
- e)
 - i) To build houses for members on land owned by them and recover the cost thereof in instalments.
 - ii) To build or cause to be built residential houses or other buildings for the members.
 - iii) To purchase land for members, build houses thereon and recover the cost thereof in instalments.

- iv) To build houses on land belonging to the society and to rent or lease them to members.
- f) To hold, sell mortgage, lease out on hire or hire-purchase system, or otherwise dispose of land houses, house-sites, buildings, and all other properties movable and immovable as may be necessary for carrying out of the objects of the society.
- g) To raise and borrow funds required for the business of the society.
- h) To repair, alter or otherwise deal with the buildings of the society.
- i) To establish and maintain social, recreative, educational public health or medical institutions for the benefit of the members.
- j) To encourage in members a spirit and practice of thrift, mutual help and self-help.

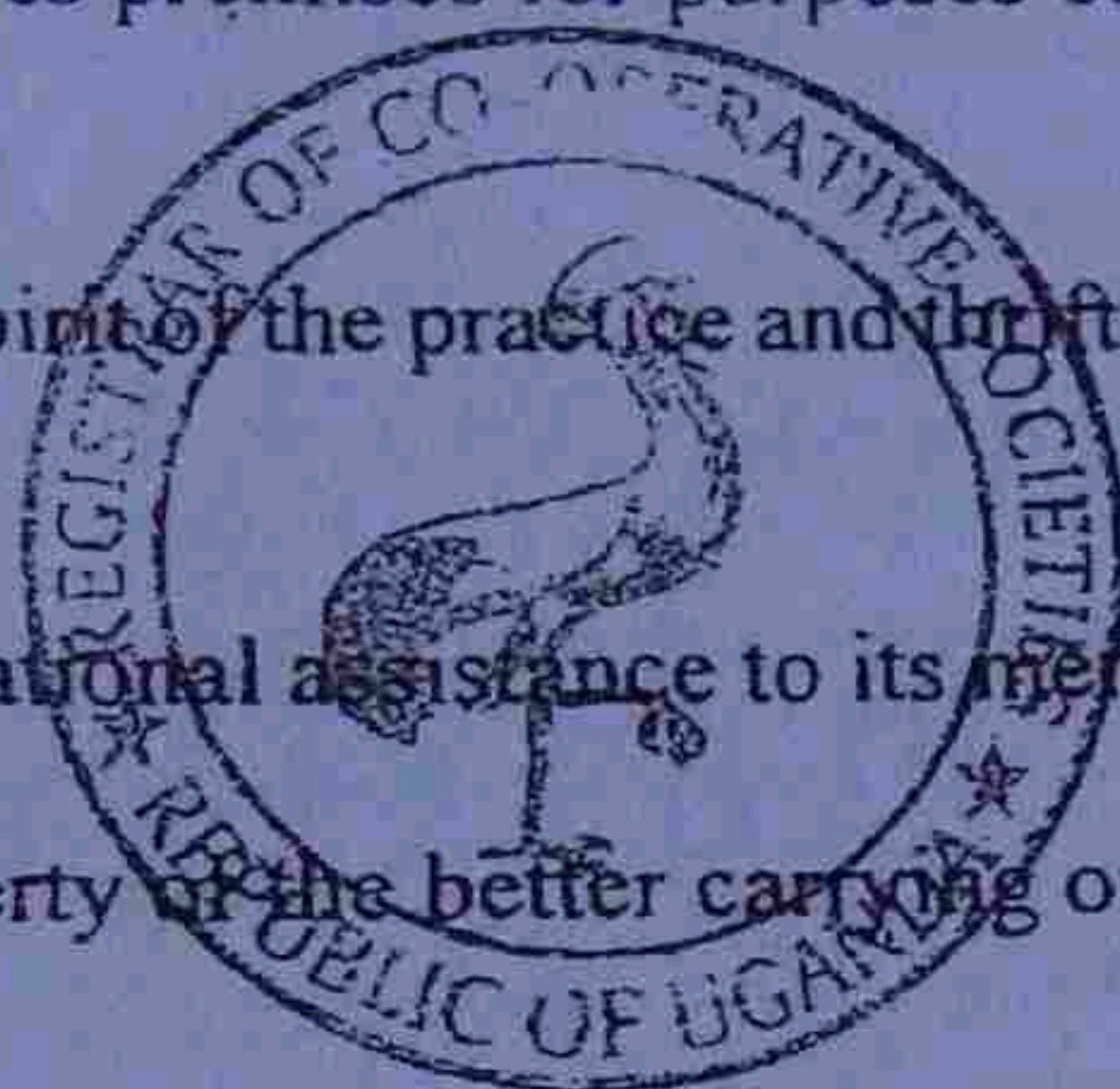
F. FISHING

- a) To encourage better fishing through improved methods of fishing and water utilization.
- b) To engage in the co-operative processing and marketing of fish and fishing products of members as may from time to time be decided.
- c) To obtain on behalf of members, fishing and building requirements.
- d) To make loans against security to members for fishing and other developmental purposes.
- e) To acquire land, building, machinery and other services as are necessary for the proper fulfilment of these objects.
- f) To encourage in members the spirit and practice of saving, mutual help, self-help and education.

- g) To acquire land for fish farming purposes.
- h) To take or otherwise acquire and hold shares in any other organization for the benefit of this society.
- i) To do all such things as are incidental and ancillary in the furtherance of the above objects.

G. HANDICRAFT

- a) To obtain for members raw materials and tools required for their trade.
- b) To assist members in selling their products and secure the best possible prices for them.
- c) To obtain business premises for purposes of carrying on the business for the society.
- d) To encourage a spirit of the practice and thrift, mutual self-help and co-operative among members.
- e) To provide educational assistance to its members.
- f) To acquire property for the better carrying out of these objects.



H. LIVESTOCK / DAIRY

- a) To encourage improved methods of animal husbandry and to supply expert advice.
- b) To increase quantity and improve the quality of member's animals by better rearing methods.
- c) To market and process the members' products and by-products co-operatively.
- d) To purchase the drugs, feeds and building requirements of the members co-operatively.
- e) To encourage members save money by accepting their deposits.
- f) To make loans to members for productive purposes on the security of their animals reared.

To do such other things as may be necessary for the attainment of these objects.

- h) To encourage in members as spirit of practice and thrift, mutual self-help and education.

I. TRANSPORT

- a) To improve their standard and method of work in accordance with expert advice
- b). To undertake co-operatively the purchase of equipment and requirement of the members more particularly spare parts, petrol and gas oil and any other commodities at whole sale prices.
- c) To supply members' goods and other commodities for permanent use and daily consumption.
- d) To encourage members to save money by accepting their deposits.
- e) To raise loans in accordance with the law for the furtherance of these objects.
- f) To advance loans to members for the purposes of improving their work provided the said members pledge sufficient security for any such loan.
- g) To acquire land, petrol stations, garage, building or rehabilitation, build them if necessary and to purchase motor vehicles, machinery and to provide such accommodation, shops and transport and other services as are necessary for the proper fulfilment of these objects.
- h) To construct and run Bus and taxi parks
- i) To operate goods transport services
- j) To encourage among the members the spirit and practice of thrift, mutual self-help and education.
- k) To do all such things as are incidental and ancillary to the furtherance of the above objects.

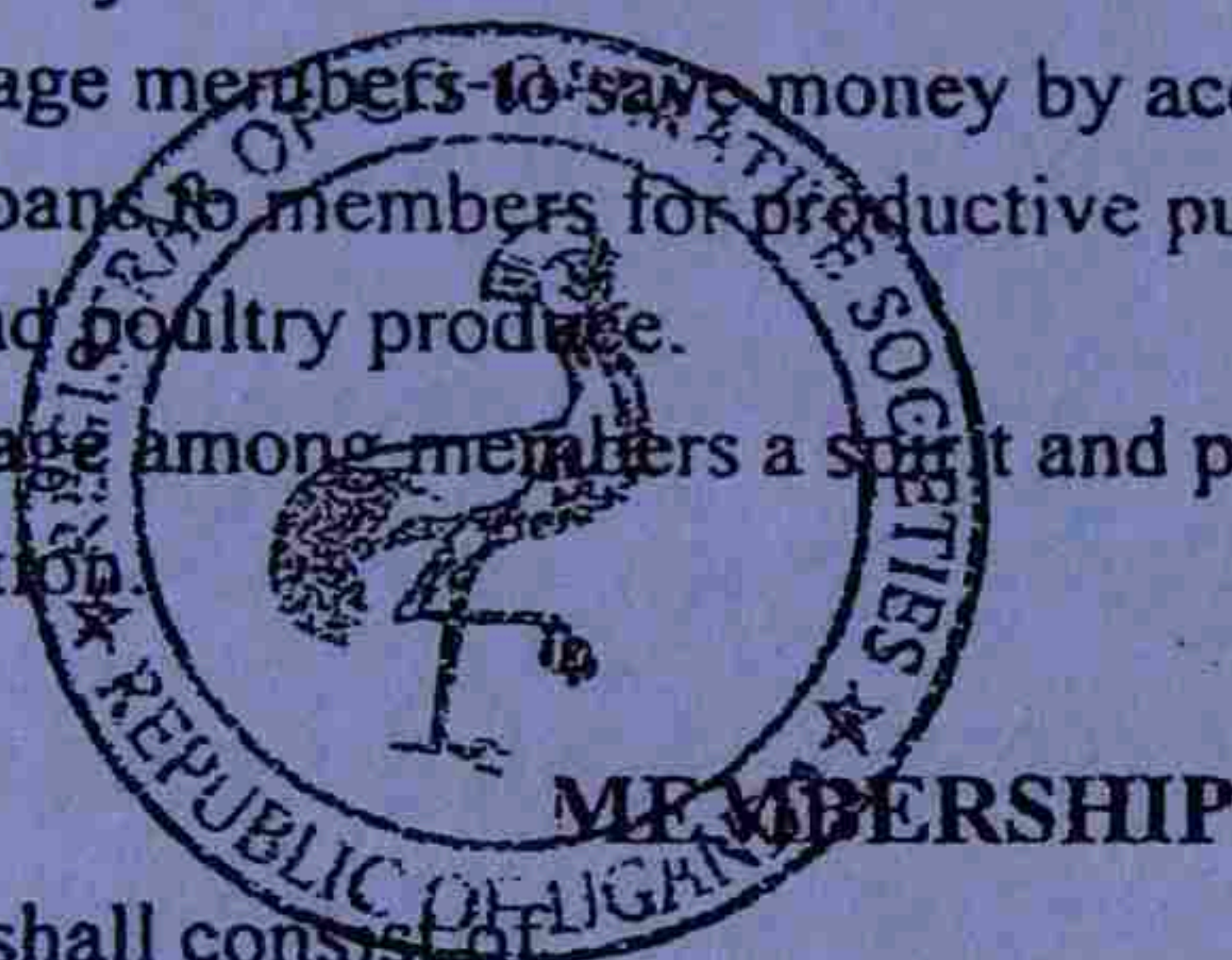
J. CONSUMER

- a) To obtain at best terms and supply to members at competitive prices, household and consumer goods in general use, of good quality, weight and measures
- b) To encourage in members a spirit and practice of thrift, mutual self-help and education

- c) To buy, acquire land by purchase, mortgage, lease exchange gift or otherwise.
- d) To encourage members to save money by accepting their deposits.
- e) To take or otherwise acquire and hold shares in any other society registered under the status for the benefit of the society.
- f) To do all things necessary and expedite for the accomplishment of the aforesaid objects and for the comfort, convenience and good of the members.

K. POULTRY

- a) To encourage improved methods of animal husbandry and to supply expert advise.
- b) To increase the quantity and improve the quality of member's poultry products by land utilization and better farming.
- c) To market and process the poultry produce of members' co-operatively.
- d) To purchase implements, drugs, feeds and other requirements for poultry farming co-operatively.
- e) To encourage members to save money by accepting their deposits.
- f) To make loans to members for productive purposes on the security of their poultry and poultry produce.
- g) To encourage among members a spirit and practice of thrift, mutual self-help and education.



4. Members shall consist of
- a) Original members who signed the application for registration;
 - b) New members subsequently admitted in accordance with these bye-laws.

New members shall be admitted after selection by the committee, subsequent to confirmation by the next general meeting.

THERE MAY BE A LIMIT TO THE NUMBER OF MEMBERS

6. Any person shall be eligible for membership who possesses all of the following qualifications:

- a) Is ordinary resident within or farms land or engages in business for which the society is registered within the society's area of operation which Villages

KAMPALA, WAKISO, MUKONO, MPigi, Bwuma

Parishes..... MENGO
Sub-county..... MENGO
County..... MENGO

- b) must have paid in full his entrance fees and shares as stipulated in bye-law No. 15
 - c) is over 12 years of age, but shall not be eligible for election to a committee until the attainment of the age of 18 years.
 - d) is good farmer of good character or is a person of good character occupied in the same activities with fellow members.
 - e) has patronised the society by delivering , at least an annual average product per member or in case of other types of societies, does business to the value of tangible economic unit as may be determined by members of that type of society.
7. Every applicant for membership and every original member shall complete and sign a form of declaration which shall include:
- a) that he possess all the qualifications laid down in bye law 6.
 - b) he shall sign a declaration, attested by two witnesses nominating a person to inherit on his death his share or interest in the society.

CESSATION OF MEMBERSHIP

8. Membership of the society shall cease with effect from the date of a member.
- a) dying
 - b) ceasing to hold the qualifications for a membership specified in bye-law 6,
 - c) voluntarily withdrawing from the society.
 - d) being expelled from the society.
9. A member may withdraw from the society after giving..... THREE months' notice to the secretary in writing provided that he is not indebted to the Society and he has been a member for at least one year.
10. The Committee shall suspend a member who:
- a) is convicted in a court of an offence involving dishonesty;
 - b) acts in any way against the interest of the society. The committee shall report on any member suspended by it to the next general meeting, which shall have power to remove or reinstate him.

11. Provided that there is no outstanding loan from a non-member to the society any person ceasing to be a member shall be repaid the following amounts, after deduction of any debts owned by him to the society.
- a) any bonus , dividend or interest due to him.
 - b) any deposits held by the society on his behalf, provided that when a member is expelled (a) shall not be repaid but forfeited to the society.
12. On the death of a member; the committee shall within one year pay to his nominees all dues decided under bye-law 11.

FUNDS

13. The funds of the society shall consist of:
- a) entrance fees of Shs..... TEN THOUSAND each applicant
 - b) an undetermined number of shares to the value of Shs. TEN THOUSAND per share.
 - c) deposit from members
 - d) deposit and loans from non-members (see bye - laws 23)
 - e) reserve fund
 - f) other funds established with the written authority of the Registrar.
 - g) surplus funds resulting from the operations of the society.
 - h) funds from the sale of non trading assets which will be deposited on a specific fund account and must be used for specific purposes resolved by the members and approved by the Registrar. 10,000 Annually
14. The funds of the society may be applied to the promotion of the stated objects of the society set out in bye law and the purpose set out in bye law 53
15. Every member shall hold not less than 10 Shares in the society, paid for in full on application. No member shall hold more than one third of the total shares. Non - Members shall not hold shares.
16. **SHARE TRANSFER FUND.** The Society shall maintain such a fund which shall be appropriated by resolution of the annual general meeting from the net surplus to an amount not exceeding 5% of the share capital of the society.

from this fund may be repaid a sum not exceeding the amount paid by the member whose membership has ceased subject to bye law 11, such a fund shall be invested in the co-operative Bank or any other bank approved by the Registrar or as may be determined by the Registrar or as may be determined by the Registrar.

17. Shares are NOT withdrawable but may be transferred between members after registration by the secretary. All transfers of share must be registered with the secretary and no transfer is valid unless so registered.
18. The liability of a member for the debts of the society shall be limited to three times the nominal value of his shares.
19.
 - a) The society may accept deposits from members and from any school savings group operating at a school within the society's area of operation as defined in bye law 6(a)
 - b) The committee shall, subject to the approval of the Registrar make regulations for every type of deposit that may be provided for governing the acceptance and withdrawal of such deposits, interest payments, penalties and any other matter pertaining to such deposits.
20. The general meeting shall, subject to the written approval of the Registrar, fix the rates of interest payable on each type of deposit.
21. Each depositor shall be issued by the society with a pass book or certificate of deposit in such form as shall be approved by the Registrar.
22. Deposits shall only be withdrawable in accordance with the regulations made under bye law 19 (b)

DEPOSITS AND LOANS FROM NON-MEMBERS

23. Each annual general meeting shall, and, any special general meeting may fix the maximum liability which the society may incur in loans for deposits from non-members and this figure of maximum liability shall be notified by the secretary to the Registrar immediately as prescribed in Regulation 20 (f).

24. Subject to the approval in writing of the Registrar and to such terms and conditions as he may impose, the society may accept deposits or loans from non-members and shall be empowered to pledge mortgage or charge all the produce or products of the society and its members whether such produce or products are in existence or production or to be produced as security for a loan from a non-member.
25. The rate of interest on loans or deposits from non-members shall not exceed the current rate of the interest charged by the bank specified by the Registrar.

LOANS AND ADVANCES TO MEMBERS

26. The society may grant loans to members for productive or necessary purposes and may make advances to members against agricultural produce delivered to the society.
27. a) The general meeting shall fix from time to time maximum sum which may be loaned or advanced to an individual member.
- b) No loan shall exceed two thirds of the average total annual value of the produce delivered by the member of the society over the three years preceding the application for the loan or ten times the amount of shares held by the member, whichever is the less, or exceeding the ratio of 2:1 of his total savings.
28. Loans may be made to members after written application to the committee on the following conditions.
- a) The borrower shall execute a bond and shall furnish two sureties.
- b) The loan shall be applied to the specified purpose approved by the committee and shall be recalled if not so applied.
- c) No loan or advance shall be made for a period exceeding twelve months provided that in cases of necessity and with consent of the sureties the period may be extended by a number of months not exceeding twelve.
- d) Loans may be renewed only with the consent of the general meeting and on the execution of a new bond.

- e) To rate of interest payable on loans shall be (one cent shilling per month) provided that prior approval of the Registrar this rate may be reduced.
- f) No loan shall be made which exceeds the maximum credit limit laid down for a member by the general meeting as provided in by the bye law 36 (f).

COMMISSION

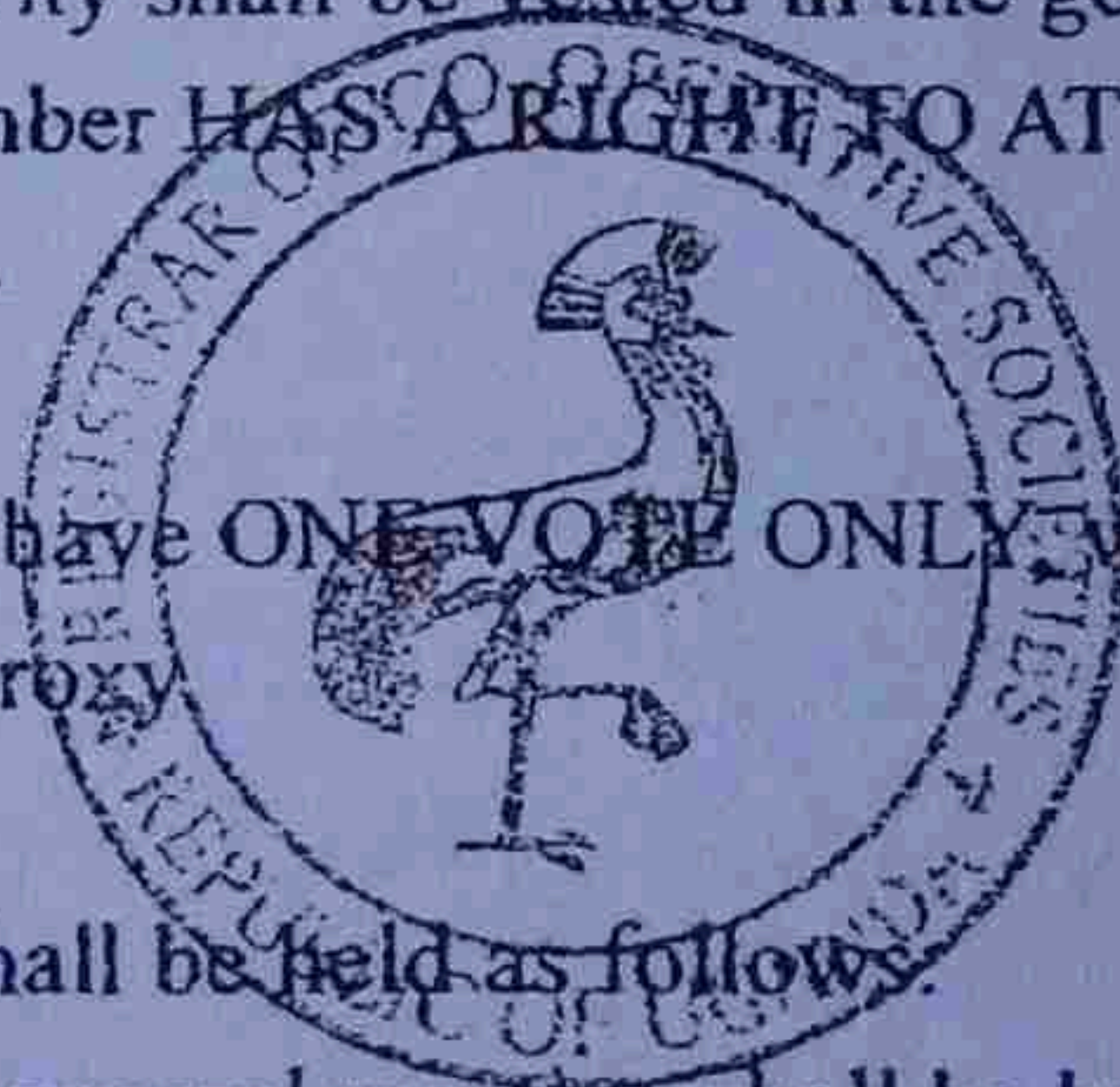
- 29. The society may charge a commission on produce or goods or products Sold or brought through the society.

RESERVE FUND

- 30. The society shall maintain a reserve fund INTO WHICH SHALL BE PAID TEN PERCENT OF THE NET SURPLUS EACH YEAR and shall be invested as approved by the Registrar.

GENERAL MEETING

- 1. The supreme authority shall be vested in the general meeting of the members at which every member HAS A RIGHT TO ATTEND AND TO VOTE ON ALL QUESTIONS.
- 2. Each member shall have ONE VOTE ONLY which he shall exercise in person and not by proxy.
- 3. General meetings shall be held as follows:
 - a) 1. The annual general meeting shall be held once a year at a time suitable for the lodging of the annual return and audited accounts with the Registrar within three months of the end of the society's financial year.
 - 2. The prime duties are to consider the accounts and to elect a committee for the ensuing year.
 - b) Special general meetings shall be held:
 - 1. When convened by the committee or the Registrar



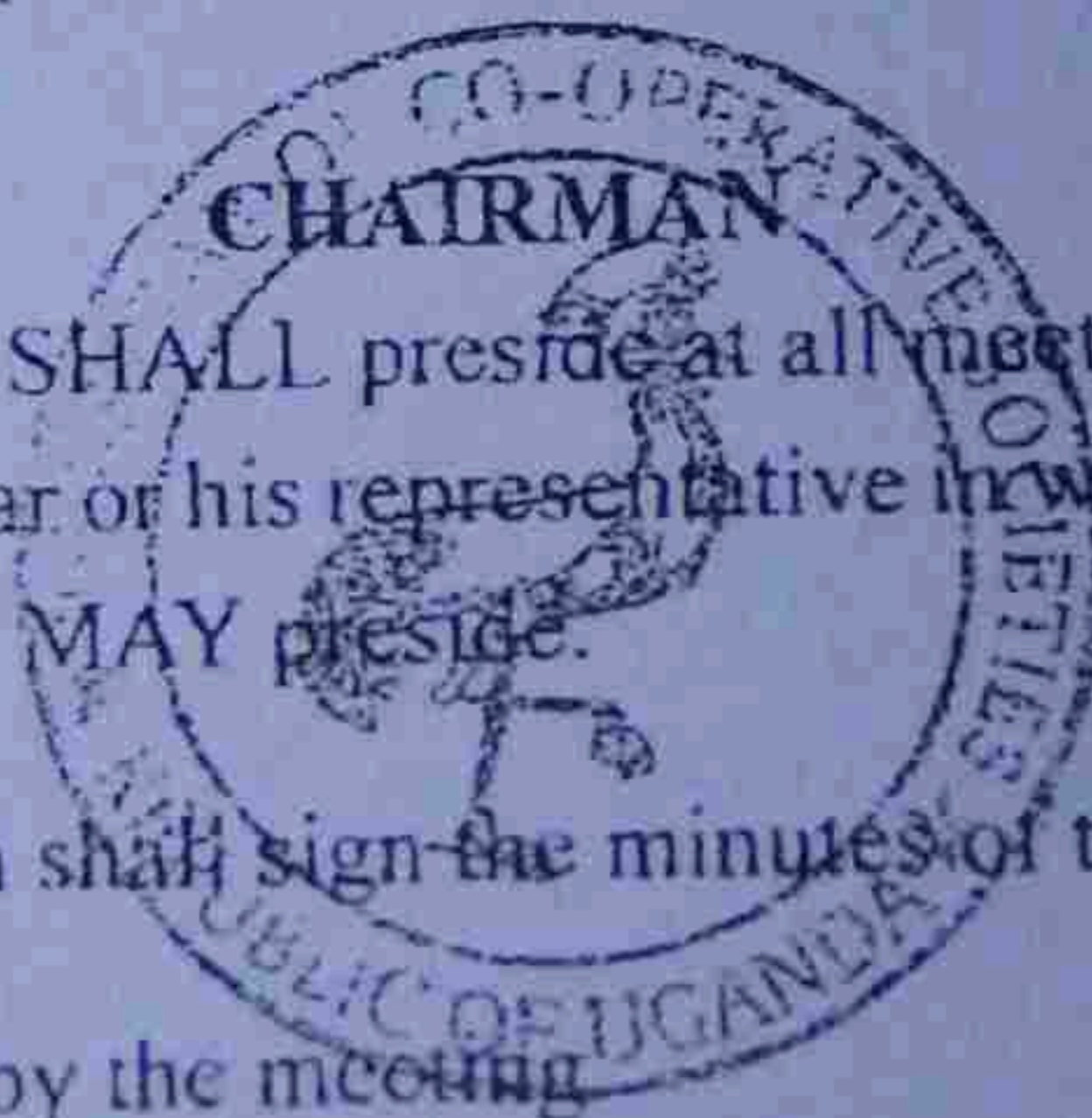
2. On receipt of a written demand of at least 120 Members, stating the reasons and objectives. If the committee fails to convene a meeting within 14 days the members may do so in accordance with Regulation 20 (2)

34. The secretary shall give 14 days notice of a general meeting to all members and shall specify the agenda. This shall not preclude the introduction of new items on the agenda with the consent of the meeting.
35. Except when convened by the Registrar the presence of at least one-quarter of the members or 80 members whichever is the less be necessary for the disposal of business at a general meeting. When a quorum is not present the chairman shall adjourn the meeting and shall fix date within one month for the adjourned meeting. It shall be advertised in such manner as the chairman shall direct. If at such meeting again a quorum is not present the chairman shall declare the meeting open and shall proceed with the meeting with those members present.
36. General meeting shall have the following duties:
- To consider and confirm the minutes of the last general meeting, after Amendment if found necessary.
 - To consider and approve the audited accounts and balance sheet and consider the reports of the society's auditor the Registrar and the Committee. If the accounts are not approved, the secretary shall notify the Registrar, whose decision as to their correctness shall be final.
 - Subject to bye law 53 to decide the disposal of the net gain or surplus, resulting from the operations of the society during each financial year.
 - To elect, suspend or remove members of the committee.
 - To fix the maximum liability which the society may incur in loans or deposits from non-members subject to the written approval of the Registrar.
 - To fix the maximum credit limit for a member.

- g) To fix the rates of interest on members' deposits, **subject to the written** approval of the Registrar.
- h) To give directions to the Committee where necessary.
- i) To amend the bye laws.
- j) To authorize the committee, treasurer or secretary to delegate all or any of their duties to a paid officer or employees.
- k) To transact any other business of which notice has been given.
- l) To confirm the admission and expulsion of members in accordance with the bye law (10 (b)
- m) To choose an auditor, subject to the approval of the Registrar
- n) To approve the estimates for the ensuing year.

37. All business discussed or decided at the general meeting shall be recorded in a minute book by the secretary according to the procedure at general meetings (in response to the requirements of Regulation 23 (6)

- 38. a) The chairman SHALL preside at all meetings, except when convened by the Registrar or his representative in which case the Registrar or his representative MAY preside.
- b) The Chairman shall sign the minutes of the last meeting after confirmation by the meeting.
- c) The chairman shall have the right to order the closure of a discussion and put the matter to the vote.
- d) The chairman shall ensure that all motions are decided by a majority of those present. If the voting is equal the motion shall be postponed to a subsequent meeting.
- e) The chairman shall have no casting vote.



- f) The decision of the chairman on any question of procedure at the general meeting shall be final.
39. a) The committee shall consist of 9 members which shall include the chairman, vice-chairman, treasurer and 6 other members.
- b) Members shall be elected for a term of 2 (two) years (Reg 24 (3) b) shall be eligible for re-election provided that no person shall hold office for more than 2 consecutive terms.
- c) Vacancies on the committee may be filled by co-option.
- d) The committee may contract experts to guide them on technical matters in the course of meetings.
- e) The minimum education or professional qualification for the committee members shall be prescribed by the Registrar from time to time : Regulation 25 (i) refers.
- f) The Chairman shall preside at all meetings in his absence the vice-chairman. The committee may elect a chairman among themselves in case Chairman and vice-chairman are all absent.
40. No person shall be eligible for membership of the committee or shall remain member of the committee if:
- a) he is not a member of the society in accordance with by law No. 6
- b) He is under 18 years of age;
- c) He receives any payment whatsoever for services rendered to the society which has not been lawfully approved by a resolution of a general meeting after consultation with the Registrar.
- d) he lends money on his own account or trades on his own or any other person's account in the same type of produce as the society's;
- e) he is an undischarged bankrupt or he is indebted to the society other than in accordance with the conditions laid down for the making of such loans.
- f) he is of unsound mind;
- g) he is convicted of any offence involving dishonesty or of any offence under the Act, Regulations or he is a dismissed employee of the Society.
- h) he has been convicted of an offence involving moral turpitude;
- i) he is a person who has been removed from the committee of a society by the Registrar or has been a member of a dissolved committee or he is a dismissed employee of a registered co-operative society.

- j) he does not patronize the society or diverts produce or services due to the society, or acts in anyway against the interest of the society as is stated in bye law 10(b)

41. Meetings of the Committee shall be held regularly at least once a month and at other times when necessary.....5..... members shall form a quorum for the disposal of business. Each member shall have one vote.

42. The committee shall be the **EXECUTIVE** authority of the society and shall direct its affairs subject to any directions from a general meeting. In particular it shall.

- a) observe in all its transactions the Act, the Regulations and bye laws;
- b) ensure that true and accurate accounts are maintained and that the books and registers of the society are kept correct and up to date.
- c) lay before the annual general meeting an audited balance sheet, and after approval forward three copies to the Registrar;
- d) elect new members, issue new and transfer old shares subject to bye law 17;
- e) examine the accounts at every meeting, check the bank statement and the cash at hand against the cash book balance and enter up the cash count book.
- f) contract loans subject to these bye laws and to any restriction imposed by the general meeting or by the Registrar
- g) shall fix capital spending limits for management beyond which the approval of the committee must be given with the approval of the Registrar.
- h) arrange for the receipt, investment and repayment of deposits and make such Regulations as are required under bye law 19 (b).
- i) deal with applications for loans, ensure that loans are applied to the purpose for which they were made and consider any action necessary

in respect of loans due and owing;

- j) appoint, suspend, or dismiss any paid employees of the society and supervise their work and obtain security from them where necessary;
- k) arrange for the safe custody and insurance of all produce and stock sold through the society;
- l) impose fines and recover fines imposed by these bye laws;
- m) enter into contracts on behalf of the society and generally manage the affairs of the society;
- n) arrange for the proper grading, marketing and processing of members' produce, including fixing of the society's commission.
- o) always keep available for inspection, the registration certificate, bye laws, latest balance sheet, members' register and a list of the society's officers;
- p) institute, defend and settle legal proceedings,
- q) prepare and send to the Registrar an estimate of income and expenditure for the ensuing year, which the Registrar and the annual general meeting must approve before any capital expenditure is incurred;
- r) Always to seek the opinion of the Registrar before any non-trading assets is disposed of.

43. In their conduct of the affairs of the society the members of the committee and each of them shall exercise the diligence and prudence of ordinary men of business and shall be responsible for any loss sustained by the society through any of their acts or omissions contrary to the law or these bye laws or the directions of any general meeting.

44. All business decided at a meeting of the committee shall be recorded in a minute book by the Secretary. On confirmation by the next Committee meeting, after amendment if found necessary. Such minutes shall be signed by the chairman.

SECRETARY

45

The Committee shall appoint a Secretary who may be either one of their own members, or a paid employee in which case he shall have no vote in the society. The duties of the secretary in particular are:

- a) to summon and attend all general and committee meetings of the society and to prepare minute of such meetings.
- b) to have custody of and keep correctly and up to date the register of members.
- c) to conduct the correspondence of the society in a business like manner.
- d) to accept the service of any legal documents which are addressed to the society ;
- e) to make annual returns to form III and file them with the Registrar
- f) to request the Registrar's opinion on the remuneration of any member of the society in accordance with Regulation 30;
- g) to notify the Registrar on form IV of the maximum liability fixed at each annual or any special general meeting which the society may incur in loans from non-members;
- h) to take custody of the register of immovable property of the society if any and keep such register correct and up to date;
- i) to perform such other duties from time to time as may be required by the Committee or by the bye-laws.

TREASURER

46. The duties of the treasurer in particular are ;

- a) To attend all meetings of the society and its committee.
- b) to collect and receive all monies payable to the society and to issue a receipt therefore from a duplicate receipt book numbered consecutively.
- c) to have all monies owing by the society and to obtain a receipt thereof;
- d) to have custody of and keep in a businesslike manner all the financial books and accounts of the society. In particular a cash book showing all receipts and all payment whatsoever.
- e) to prepare the accounts and balance sheet of the society in such form

as may be required by the Registrar with necessary schedules;

- f) to have custody of ALL ready cash belonging to the society separat from any other money in safe or cash box and the payment of such cash at the earliest opportunity into a bank, provided the Registrar ma specify the maximum amount of ready cash which may be held at an one time by the treasurer.
- g) To produce any cash in hand, books of account or other documents t the committee or any other person entitled to see them.
- h) To perform such other financial duties from time to time as may be required by the committee or the bye laws.

MANAGERS AND EMPLOYEES

47. a) The committee shall have power to appoint and dismiss a paid manage and other employees who shall carry out such duties as the committe may require;
- b) { The general meeting may authorize the committee, treasurer, or secretary to delegate any or all of their duties to paid manager or employee' }
- c) The ultimate responsibility for the overall proper and businesslike direction of the affairs of the society remains collectively with the committee.

BOOKS AND ACCOUNTS

48. 1. The following books and records shall be kept to date and in proper and businesslike manner.
- a) a register of members showing the name, address and occupation of each member, the shares and deposits subscribed the date of his admission to or cessation from membership, and his nominee

7a(i) No persons related to Executive or supervisory boards members shall be allowed to work as staff or management

- b) a minute book for general meetings
- c) a minute book for committee meetings;
- d) a cash book, showing details of all money received and paid out in any way whatsoever,
- e) a ledger containing such accounts as are necessary for the proper record of the business'
- f) a personal ledger showing transactions of each member with the society;
- g) a cash account book;
- h) such other books and accounts in such form as the Registrar may direct.

2. When a society makes or accepts loans, a loan Registrar shall be kept upto date.

FINANCIAL YEAR

49. The financial year of the society shall be from... 1 JAN' to 31 DEC'

50. a) The society shall engage in the following business/ businesses
Handicraft, Poultry, Agro processing,
produce buying and Savings and
Credit

other types of activities may be added by decision of the general meeting.

b) The committee shall direct the level of the activity that shall be attained by each member and shall accept such amount provided it is marketable, is in good condition and is delivered at the time and place directed.

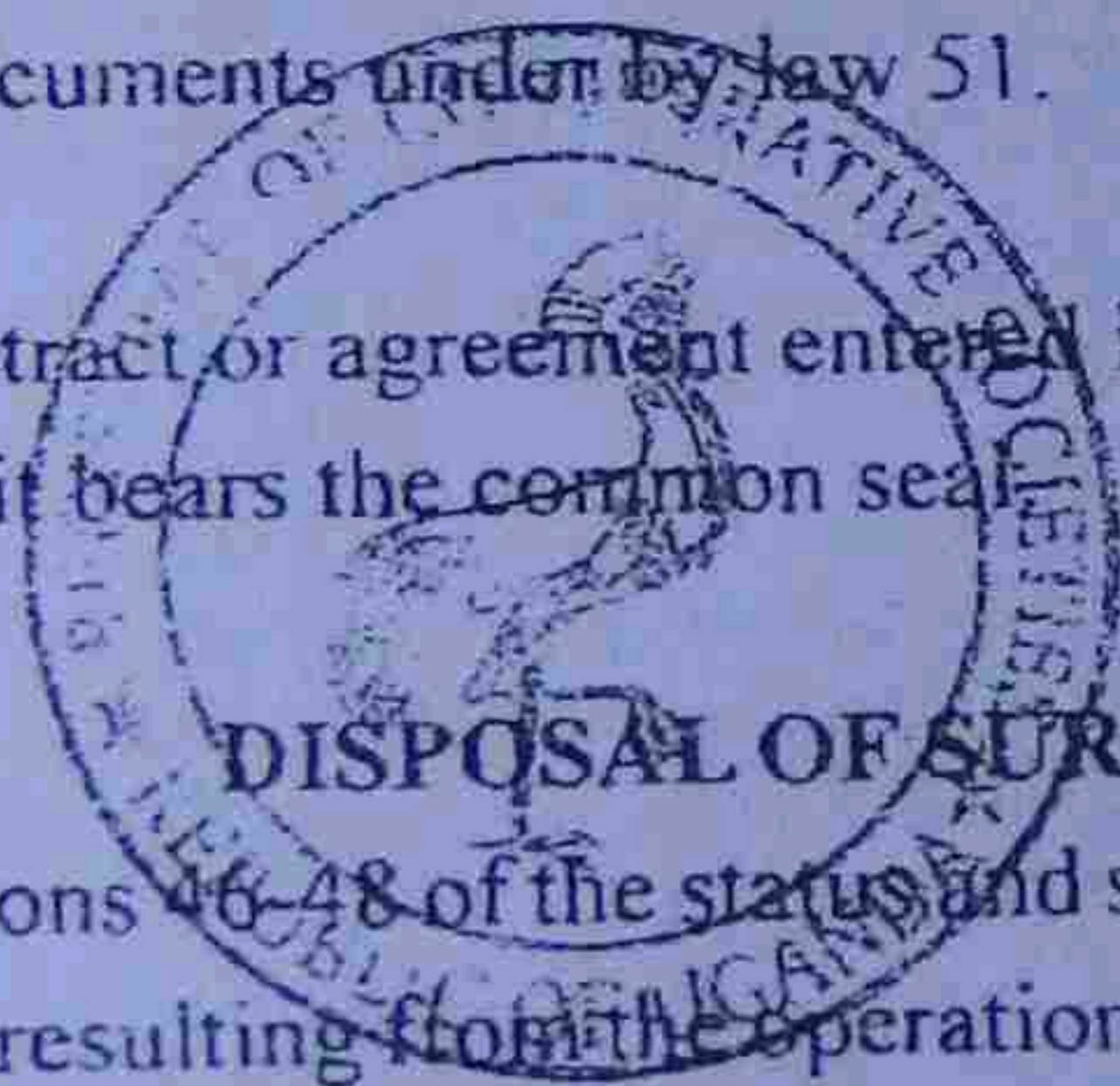
c) No member of the society shall or otherwise dispose of any of his produce as scheduled under sub-section(a) which is in marketable condition, to any company, society or person other than his society. Any member who infringes this bye law shall pay to the society a sum representing 20 per cent of the price at which such produce was sold.

AUTHORIZATION TO SIGN DOCUMENTS

51. Except with the sanction of the general meeting all documents, contracts and cheques shall be signed for the society by three of the following: Accountant, Treasurer, Secretary and Chairman.
However the committee will from time to time fix standing spending limits for which all signatories will be required to sign in accordance with bye law 42 (g)

COMMON SEAL

52. a) The common seal of the society shall be a rubber stamp containing the name and registered number of the society. It shall be kept by the treasurer and shall be used only by the officers who have authority to sign documents under by law 51.
- b) No contract or agreement entered into by the society shall be valid unless it bears the common seal.



53. Subject to sections 46-48 of the status and section 34 of the Regulations the net gain or surplus resulting from the operation of the society during each financial year shall be apportioned after the balance sheet has been certified by the Registrar as follows:

- a) One tenth shall be paid into the reserve fund unless the Registrar otherwise Approves.
- b) The balance shall be apportioned as decided by the General meeting
- i) To pay a Bonus to members in proportion to the value of goods bought or sold by them through the society.
- ii) to pay a Dividend on share capital at a rates not exceeding the current Bank lending rate as may be determined by the minister of Finance or Bank of Uganda from time to time

24. For every breach of these bye laws of instructions issued by the committee, the defaulting member may be fined an amount not exceeding Shs. 20,000/- for each offence subject to the provisions of the Act.

DISPUTES

25. Any dispute arising out of these bye laws or the business of the society which cannot be settled by the committee or General meeting shall be referred to Arbitrator as provided in section 73 of the Act.

MISCELLANEOUS

6. 1) No officer or member shall receive any payment for services rendered to the society unless the society has, after consultation with Registrar, resolved to do so at General meeting. Subject to section 76 of the Act and Regulation 30.

- 2) The committee shall issue a copy of the bye law to each member on payment
- 3) The society shall pay as supervisor fees and audit fees such sums as the Registrar may require in accordance with the provisions of Regulation 13 of the Act.

- 4) The society shall pay 5% of its surplus to the Revolving fund in accordance with Regulation 36.

5. These bye laws shall be amended only as prescribed by Regulation 36.

6. On application for registration a society shall pay a non-refundable fee as shall be determined and notified by the Registrar from time to time in accordance with section 3 of the co-operative society's Regulations.



DISSOLUTION

57. The Society shall be dissolved only as prescribed by Part VII of the Act. On dissolution of a Society, the reserve fund shall be applied as prescribed by Regulation 35.

RECOMMENDED FOR REGISTRATION

Date 8/1/12

DISTRICT COMMERCIAL OFFICER
KAMPALA DISTRICT
DATE 3/1/12
District Co-operative Officer

I certify that the above bye laws of the KAMPALA DEVELOPMENT LUBAGA



Co-operative Society Ltd, are not contrary to the provisions of the co-operative's Act or of any Regulations made thereunder, and I hereby register the society.

REGISTERED NO 9838/RCS

Date 9/2/2012

Signature [Signature]

Mwesigye Frederick Edward
REGISTRAR OF CO-OPERATIVE SOCIETIES



Article 13f, 15, 38b
& (4) 91 amended

[Signature]

REGISTRAR OF CO-OPERATIVE SOCIETIES

REGISTRAR OF CO-OPERATIVE SOCIETIES

Article 6a, amended

wat 17/2/20
[Signature]

APPROVAL AND ENDORSEMENT OF AMENDED BYE-LAWS

In our Annual General Meeting held on 23/2/2014 under Min3/KADCOS/LUB/23/2/2014 members passed a resolution to form the Board of Trustees. Those minutes were passed on a true record and were certified by the Registrar of Cooperatives.

OBJECTIVES:

The specific objectives of the Board of Trustee is to preserve the norms and practice of KADCOS-Lubaga as they were set in her inception. The Board of Trustee members shall consist of seven members who shall be nominated every after four years, and will consist of the following:

- a) The Patron of the society shall be the Cathedral Administrator of Lubaga Parish.
- b) One representative shall be elected from the founder members of the society.
- c) One representative from the secondary founding body, which is CARITAS Kampala Archdiocese.
- d) One co-opted member/legal adviser.
- e) Two representatives proposed by the society Board Directors, either as original founder or as a member will the society at heart.
- f) Secretary Manager of the society in the Archdiocese of Kampala.
- g) The election of the above members to the Trust shall be confirmed in writing by a top official of Kampala Archdiocese.

Duties and responsibilities of the **TRUSTEE BOARD MEMBERS**

The members of this Trustee shall be viewed as executive advisers as far as the general welfare of the Society is concerned. They shall be responsible for the preservation the good administrative culture of the society, by doing the following:

- a) Receive and analyze applications for election to all offices of the board of Directors, and or of the supervisory committee.
- b) Shortlist applicants and carry out consultations about their knowledge and ability to abide by the society administrative norms.
- c) Give general administrative advises to the board of directors.
- d) Advice the members' general meeting about the qualifications and impediments of the candidate's proposed to be elected.
- e) Do any other work as and when requested.